

L'Oréal

Gucci Licensing Agreement with Kering to come into effect a year ahead of schedule

L'Oréal has announced that it will enter into a fifty-year exclusive license agreement with Kering (covered by Chiara Battistini) for the creation, development, and distribution of fragrances and beauty products for the Gucci brand a year earlier. This agreement is pursuant to the terms of the alliance formed on 19th October 2025 between Kering and L'Oréal (see our [note](#)) and was expected to come into effect post conclusion of Kering's current agreement with Coty by 2028. However, with Kering's announcement today ending the current agreement about a year early, the new license with L'Oréal shall come into effect as of July 1st, 2027, subject to regulatory approvals. The company shall then assume responsibility for the development and management of Gucci Beauty activities worldwide. L'Oréal will pay to Kering transition costs amounting to ~70% of the early redemption costs (\$400mn - \$250m in 2026 and up to \$150m in 2027) and inventories as consideration for the orderly transition by Kering of the existing license agreement. This is on top of the €4bn consideration already announced. We expect the transaction (including the acquisition of Kering Beauty and licenses for Bottega Veneta and Balenciaga) to be c1-2% accretive by 2028. However, management recently noted that the deal should be slightly dilutive in 2026 and 2027E.

- **Kering** is a global, family-led luxury group, with brands across couture and ready-to-wear, leather goods, jewelry, eyewear and beauty including Gucci, Saint Laurent, Bottega Veneta, Balenciaga, McQueen, Brioni, Boucheron, Pomellato, Dodo, Qeelin, Ginori 1735, as well as Kering Eyewear. In 2025, Kering employed 44,000 people and generated revenue of €14.7bn.
- **Oct-2025 Deal terms.** Kering will sell Kering Beauté including the House of Creed to L'Oréal. The partnership includes the rights to enter into a 50-year exclusive license for the creation, development, and distribution of fragrance and beauty products for Gucci, commencing after expiration of the current license with Coty. Kering will also grant L'Oréal 50-year exclusive licenses for the creation, development, and distribution of fragrance and beauty products for Bottega Veneta and Balenciaga, starting upon closing of the announced transaction. The agreement, including the sale of Creed and the establishment of these 50-year licenses on these iconic Houses of Kering, is valued at €4 billion. L'Oréal will also pay royalties to Kering for the use of its licensed brands. Beyond beauty, Kering and L'Oréal are joining forces to explore business opportunities at the intersection of luxury, wellness, and longevity.

Neutral

OREP.PA, OR FP

Price (08 Jul 26):€380.75

Price Target (Dec-27):€365.00

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Investment Thesis, Valuation and Risks

L'Oréal (Neutral; Price Target: €365.00)

Investment Thesis

We rate L'Oréal Neutral as we view the company's mid-term growth at 4-5% at odds with a premium rating amid an uncertain global Beauty market. Near term, support from US market demand should address top-line weakness concerns, although we retain our mid-term top-line growth forecasts at 4-5%, modestly outperforming the global beauty market, which is facing normalisation in Europe and an uncertain N. Asia. As the top-line growth gap narrows vs. European Staples peers, we believe L'Oréal's premium rating will remain at risk.

Valuation

We set a Dec-27 DCF-derived Target Price of €365 (WACC of 8.5%; LT growth rate of 3.5%).

L'Oréal: DCF Valuation	
PV of Cash Flow (27-36e)	67,743
+Terminal Value	128,677
Firm Value	196,420
-Net Debt/(Cash)	-7,787
Minorities	-51
Sanofi	6,685
Equity Value	195,267
Equity Value per Share (€)	365
WACC	8.5%
LT Growth Rate	3.5%

Source: J.P. Morgan estimates

Risks to Rating and Price Target

Upside risks to our rating and price target include: a stronger-than-expected China recovery leading to Luxe acceleration as well as in Travel Retail; a better-than-feared slowdown in W. Europe would also drive upside risks. Downside risks include: a deterioration in trading conditions in the company's key markets, e.g. Europe/ US/China, a material change in the value of its minority stake, and mergers and acquisitions. In addition, a retail slowdown or travel restrictions could weigh on the company negatively, as well as a strengthening of the euro, which could lead to earnings downgrades.

Companies Discussed in This Report (all prices in this report as of market close on 08 July 2026, unless otherwise indicated)
Kering(PRTP.PA/€239.65/UW)

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L'Oréal (OREP.PA, OR FP) Price Chart



Date	Rating	Price (€)	Price Target (€)
29-Nov-23	N	430.70	420
12-Feb-24	N	418.80	410
15-Aug-24	N	380.55	390
16-Oct-24	UW	376.40	325
27-Nov-24	UW	332.45	290
31-Jul-25	N	388.55	360
09-Oct-25	N	383.10	350
26-Nov-25	N	367.20	365

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Jan 18, 1999. All share prices are as of market close on the previous business day.

Kering (PRTP.PA, KER FP) Price Chart



Date	Rating	Price (€)	Price Target (€)
05-Oct-23	N	421.45	575
25-Oct-23	N	407.45	475
13-Dec-23	N	410.45	430
08-Feb-24	N	390.25	425
20-Mar-24	N	425.95	400
24-Apr-24	N	350.20	350
25-Jun-24	N	324.20	325
25-Jul-24	N	300.60	285
25-Sep-24	N	228.95	265
24-Oct-24	N	230.95	220
02-Dec-24	UW	220.75	195
24-Apr-25	UW	174.94	150
25-Jun-25	UW	180.48	145
23-Oct-25	UW	317.30	200
28-Nov-25	UW	296.20	235

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Jan 26, 2000. All share prices are as of market close on the previous business day.

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